International Economics (T6) **November 3, 2024**

Balance of Payments

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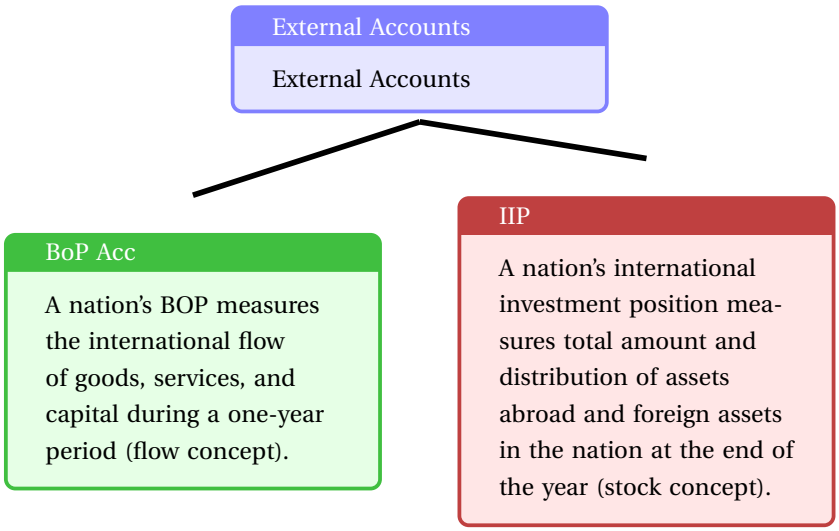
Learning Obectives

- Understand External Accounts
- Learn about components of Balance of Payments Accounts
- Realise the importance of Current Account Balance

1 External accounts of a country



1.1 Credit and Debit Transactions

Credit (+)

- Transactions that involve receipt of payments from foreign sources.
- Exports of Goods and Services
- Unilateral transfers (gifts) from foreigners
- Financial inflows (Rise ↑ in foreign assets in a nation; Reduction ↓ in a nation's assets abroad).

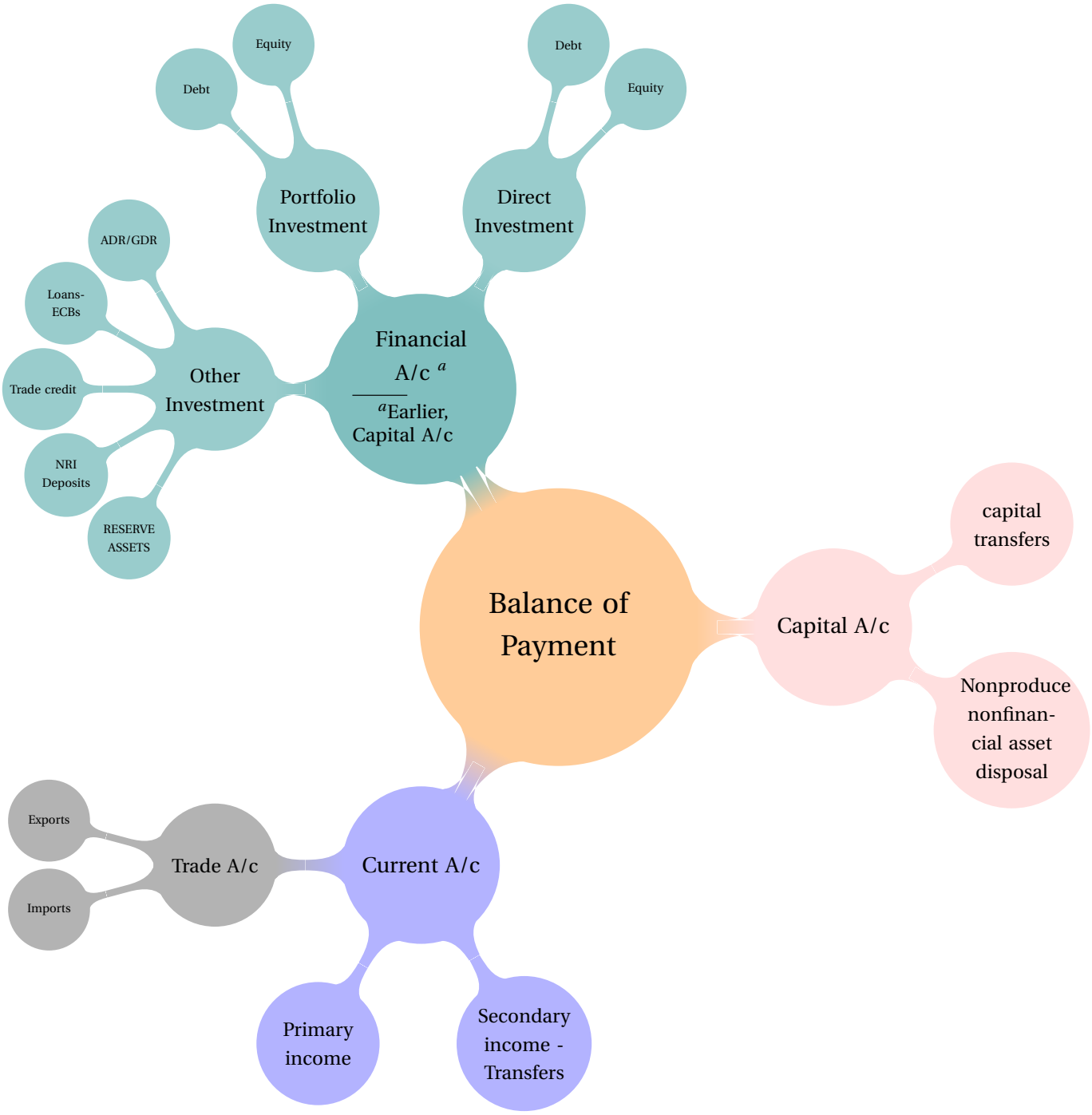
Debit (-)

- Transactions that involve payments to foreign sources.
- Imports of Goods and Services
- Unilateral transfers (gifts) to foreigners
- Financial outflows (Rise ↑ in a nation's assets abroad; Reduction ↓ in foreign assets in a nation).

1.2 Double entry book-keeping

In BoP accounting, each international transaction is recorded twice – once as a credit and once as a debit.

2 BOP Account



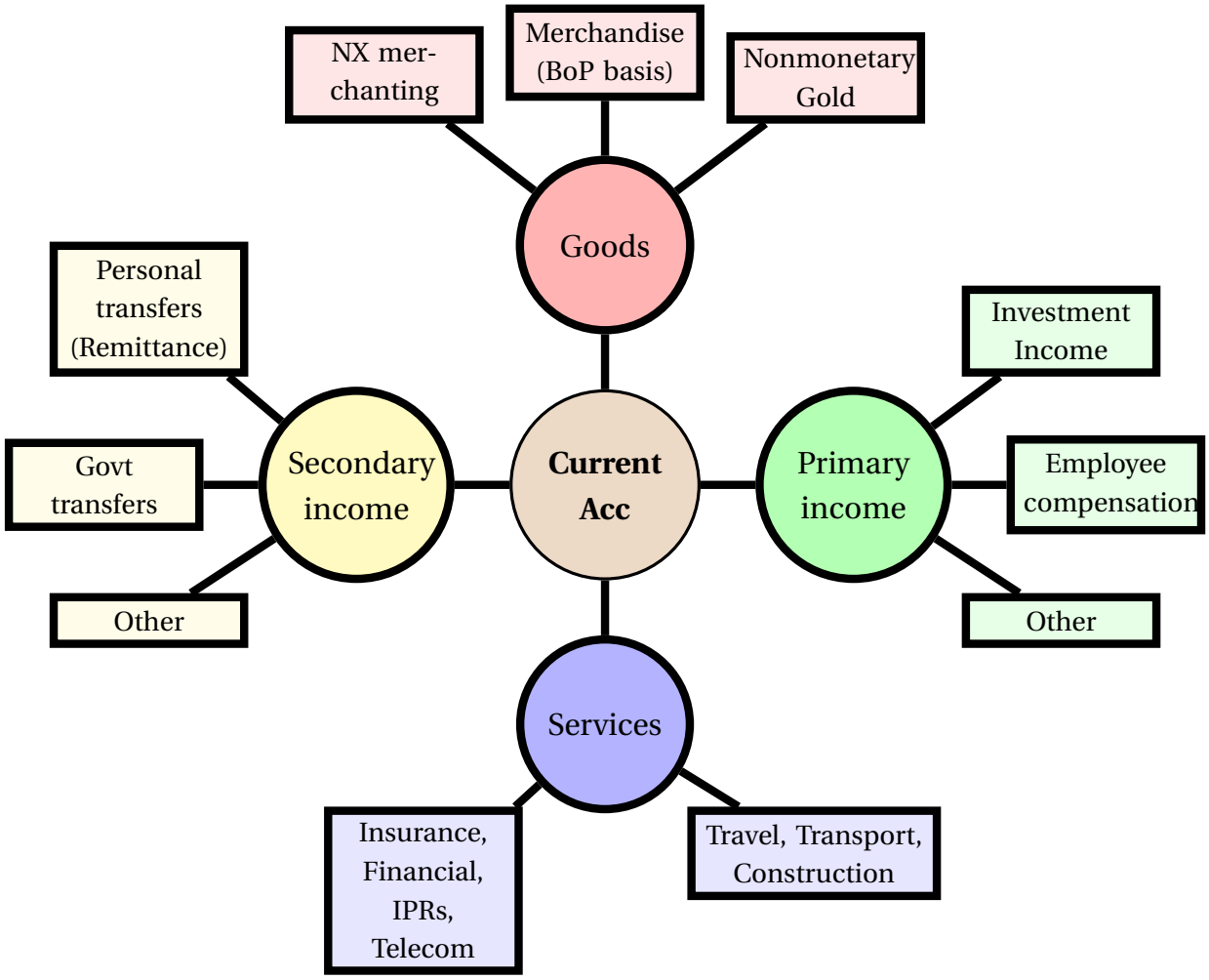
1. **Primary Income:**

2. **Secondary Income:**

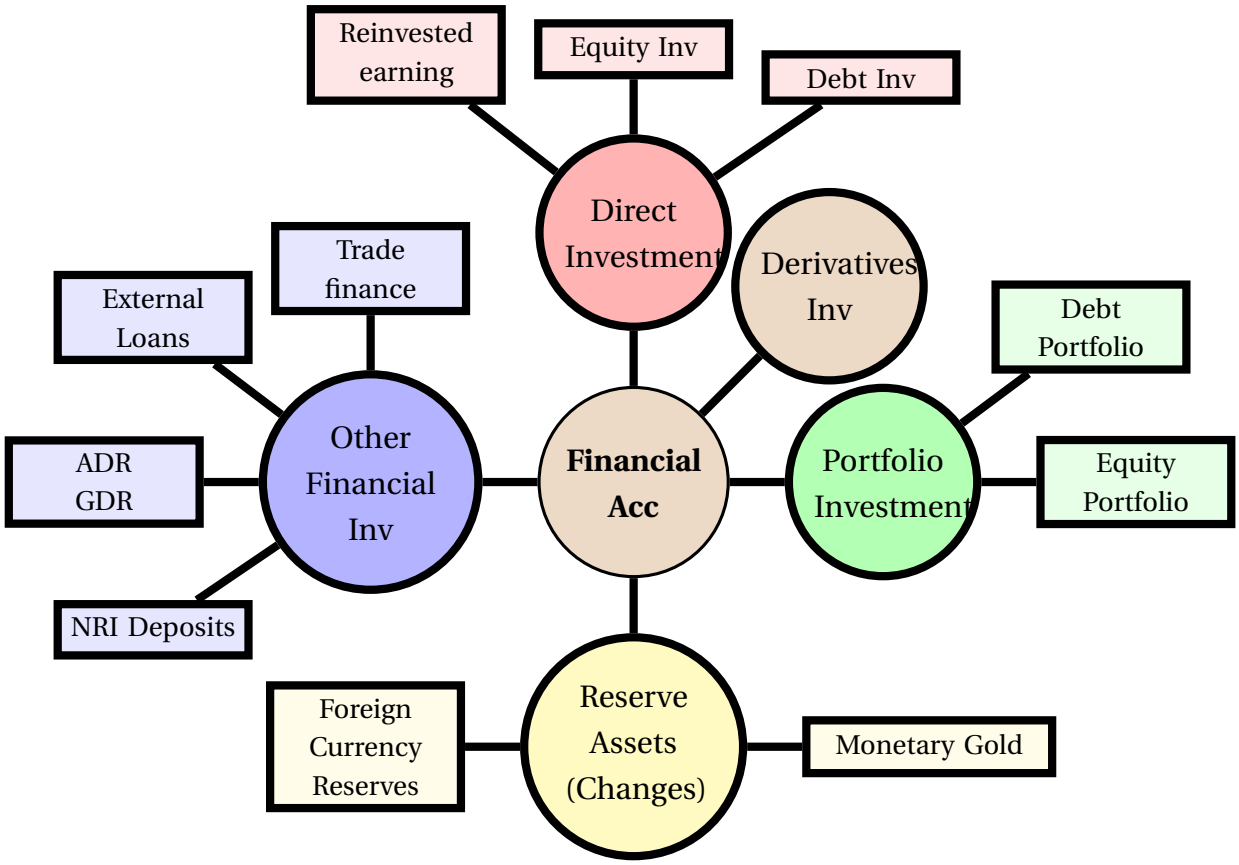
3. **Primary Income:**

4. **Primary Income:**

2.1 Current Account



3 Financial Account



3.1 SDRs

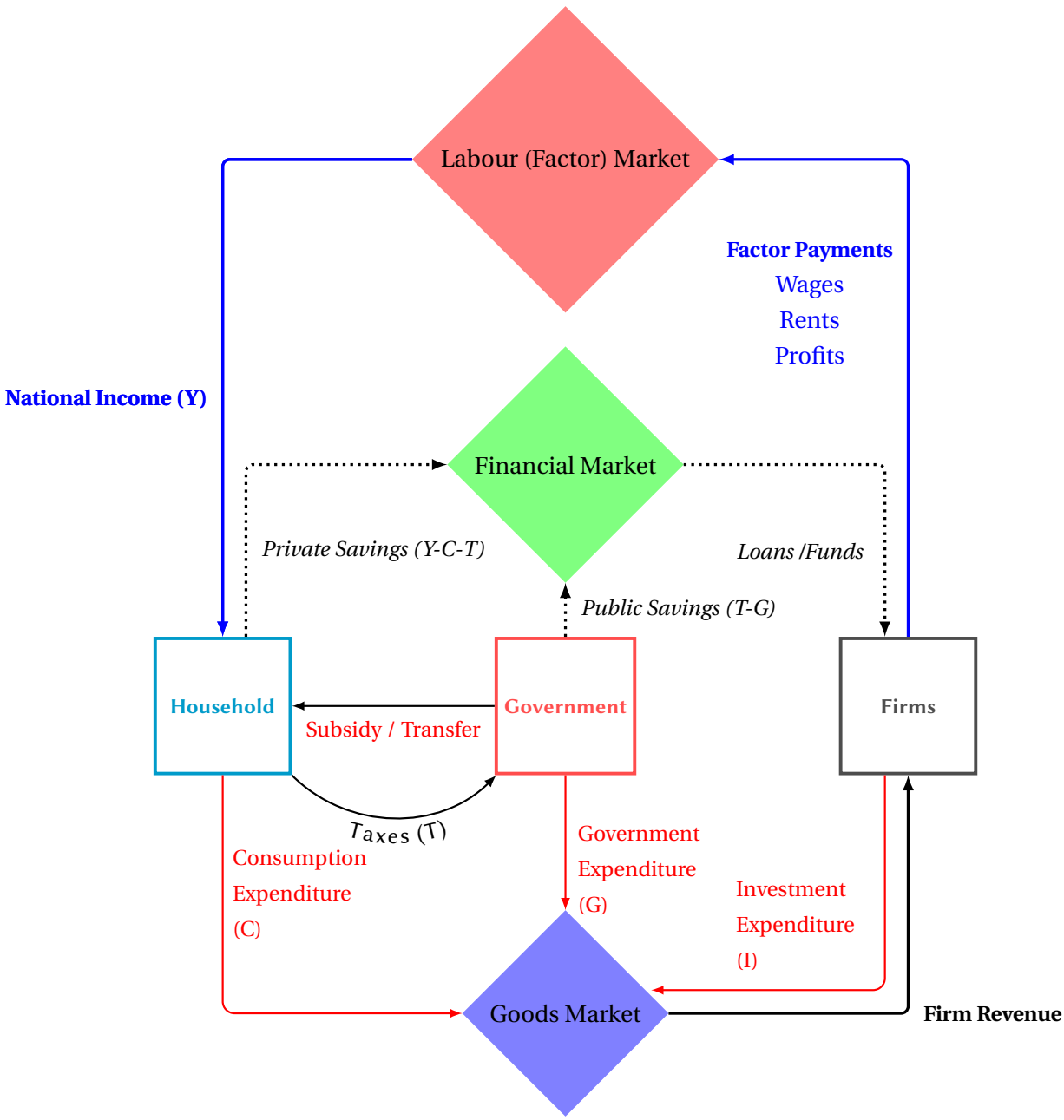
Special Drawing Rights: (SDR) is an international reserve asset, created by the IMF in 1969 to supplement its member countries' official reserves.

- SDR is neither a currency nor a claim on the IMF. It is a potential claim on the freely usable currencies of IMF members
- Originally, SDR = 0.89 grams of fine gold
- Now, 1 SDR = Weighted basket of five currencies.

Currency	Weights (2022)	Fixed units of currency
US dollar	43.38	0.57813
Euro	29.31	0.37379
Chinese Renminbi	12.28	1.0993
Japanese Yen	7.59	13.452
Pound Sterling	7.44	0.08087

4 Open Macroeconomy - Essentials

4.1 CircularFlow



4.2 Open Economy - Identity

In an Open economy the expenditure-income identity is:

$$\text{Income} = \text{Expenditure} \tag{1}$$

$$Y = C + I + G + X - M \tag{2}$$

$$\underbrace{Y - C - T}_{\text{Private Saving}} = I + \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{3}$$

$$S^{\text{pvt}} - I = \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{4}$$

4.3 Private Savings in an Open economy

Uses of Domestic Private Savings in an Open economy

$$S^{PVT} = I + NX + \text{Gov. Deficit}$$

- Private Saving
- Investment Spending
- Net Exports
- Goverrnment Deficits (Negative Public Saving)

4.4 Importance of Current Account Balance

Importance of Current Account

$$\underbrace{(M - X)}_{\text{Current Acc. Deficit}} = \underbrace{G - T}_{\text{Govt. Deficit}} + \underbrace{I - S^{\text{pvt}}}_{\text{Pvt Sector Deficit}}$$

5 Videos

Special Drawing Rights - Video

The End